ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 03 - MARKET MAKER TRAP HEAD SHOULDERS PATTERN

INTRODUCTION TO FALSE TOPS & BOTTOMS WITH CLASSICAL HEAD AND SHOULDERS

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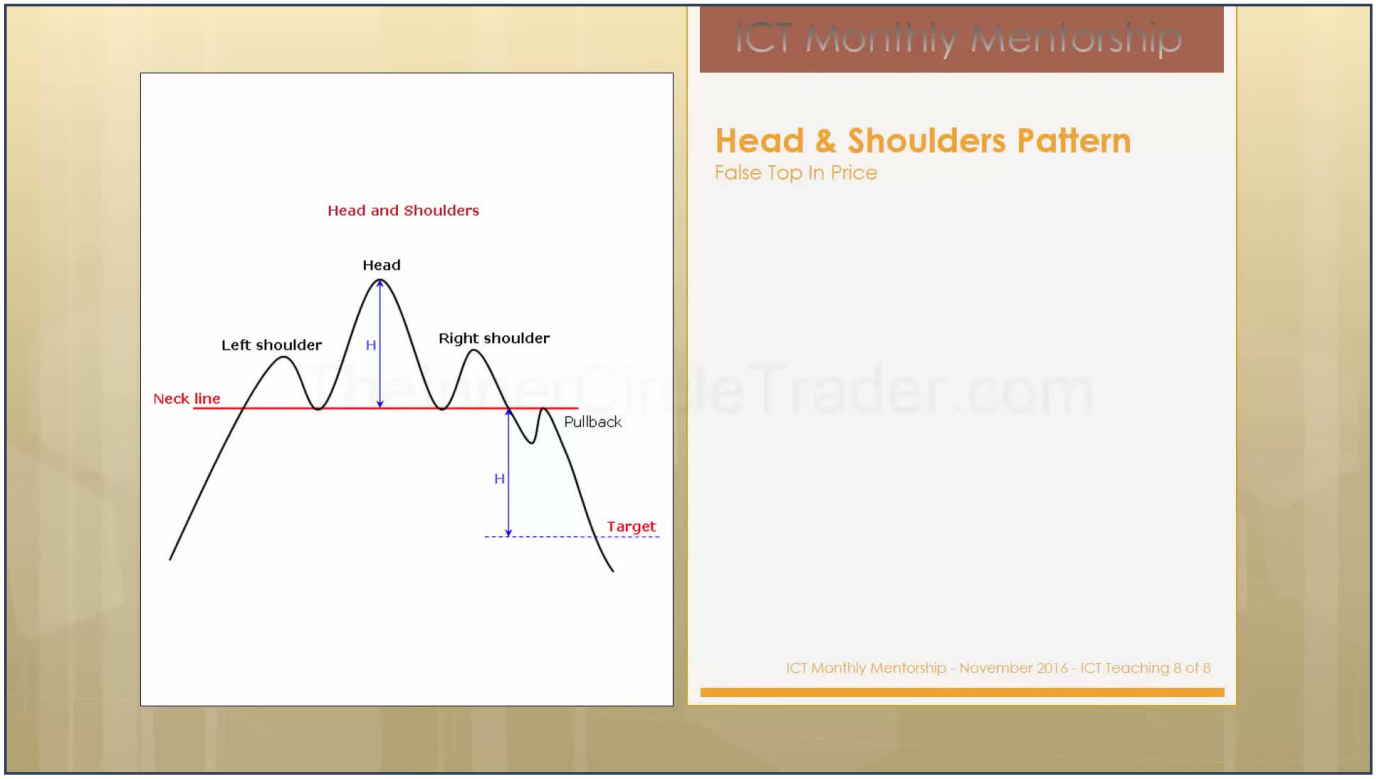

For the month of November 2016 ICT Mentorship, we are discussing false tops and bottom patterns as they relate to classical head and shoulders.

CLASSICAL HEAD AND SHOULDERS PATTERN DEFINITION

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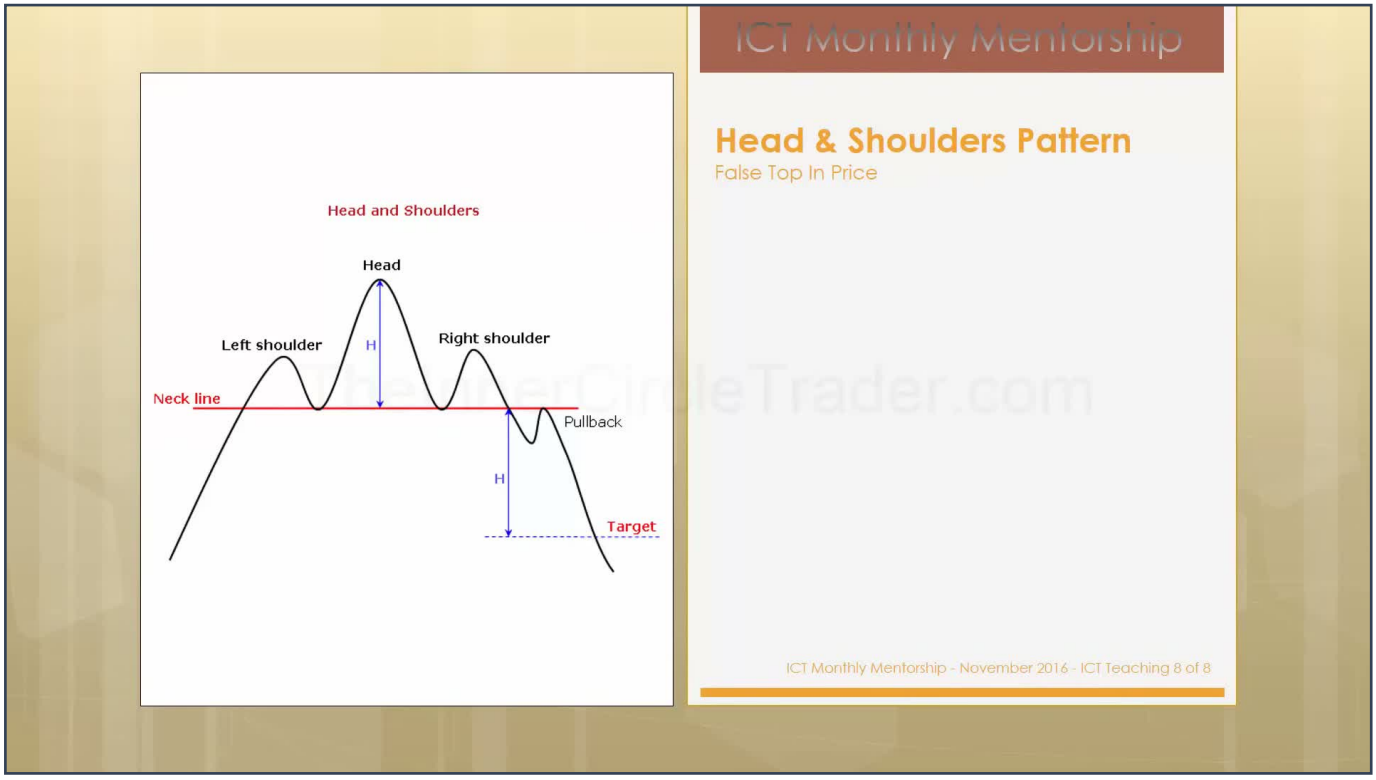

A head and shoulders pattern is typically seen with:

- a price high that trades in a small little retracement

- then it creates a higher high

- and it retraces back lower

- and it creates another lower price peak or short-term high.

Connecting those three successive peaks in price forms what is classically referred to as the neckline.

CLASSICAL TRADING STRATEGY FOR HEAD AND SHOULDERS

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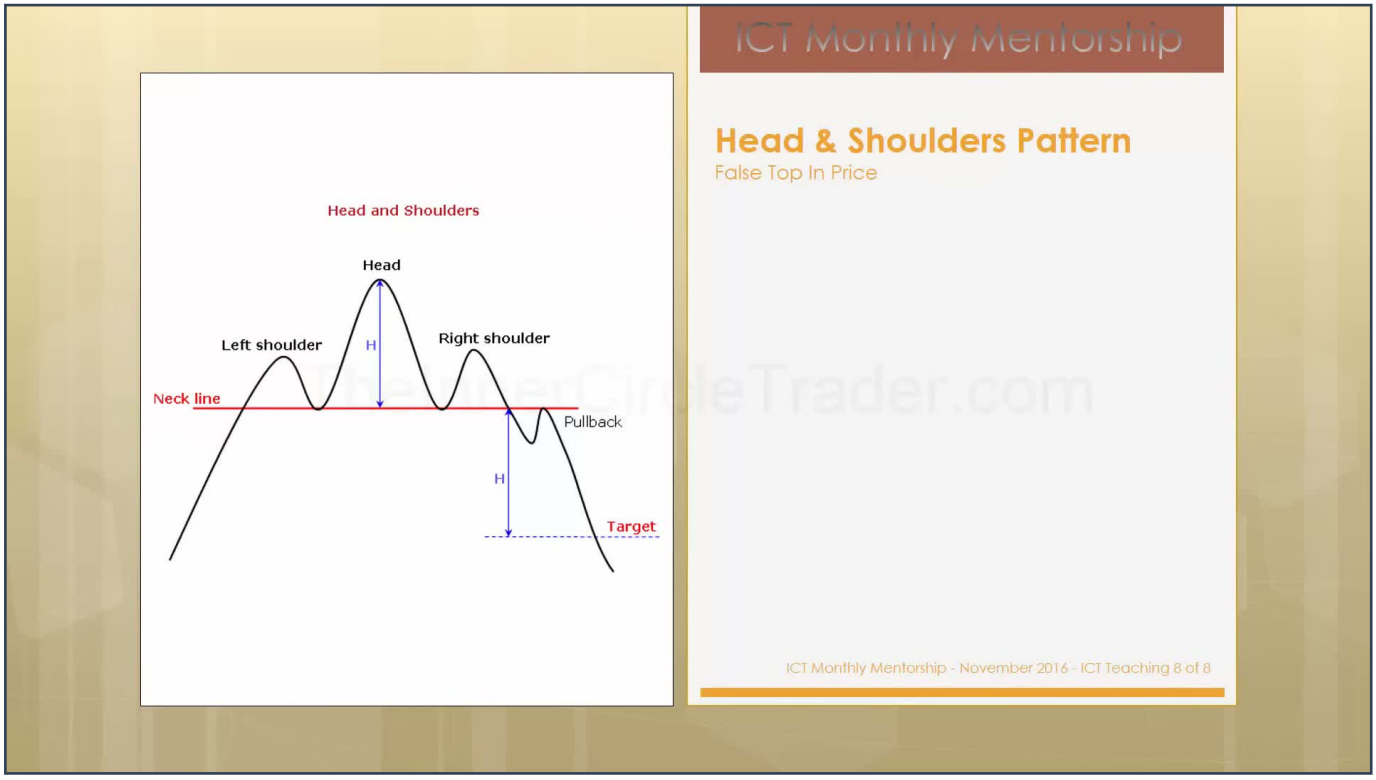

Classical support resistance ideas are seen here:

- If that neckline is broken, many times you will see it retrace or pull back up to that neckline and then sell off again.

- For selecting targets, you can measure the range from the neckline up to the head (or the highest peak) and subtract that range from the neckline once price breaks below it. This will give you a reasonable price objective.

THE PROBLEM WITH CLASSICAL HEAD AND SHOULDERS PATTERNS FOR RETAIL TRADERS

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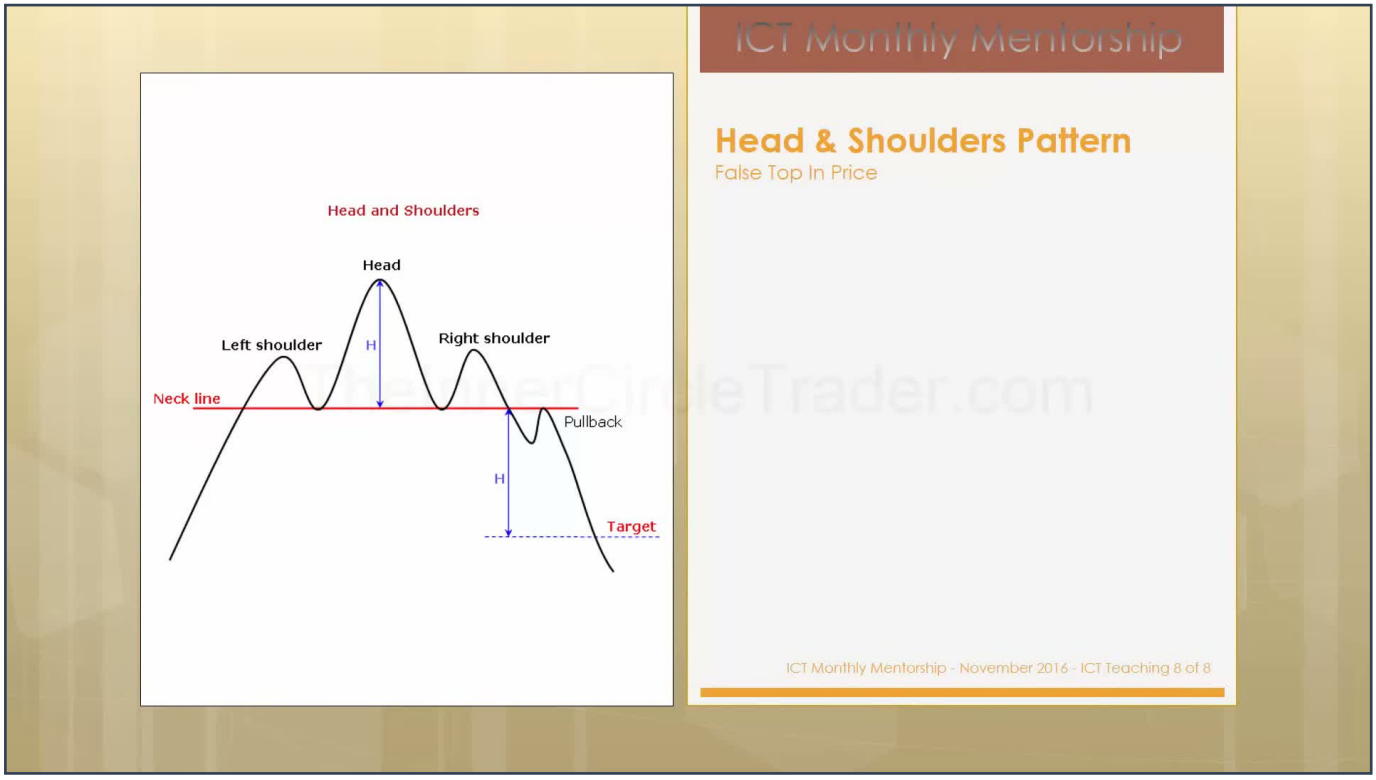
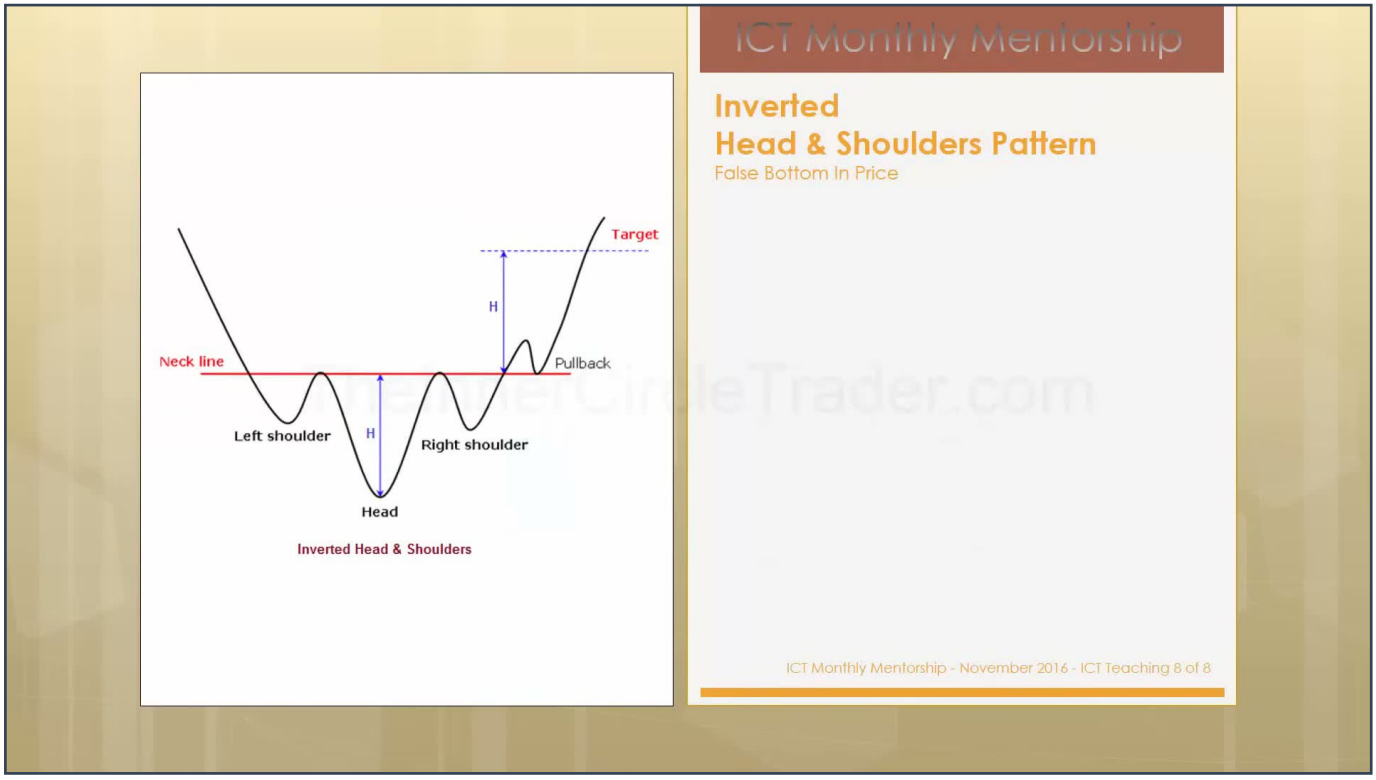


The problem with this pattern is that it is taught in all retail books. Every trader, when they first get into their charts, is always looking for these types of patterns.

- Generally, price will form these genuinely at intermediate or long-term highs only.

- Due to the low understanding of most retail traders, they tend to seek these classic topping patterns on lower time frames, and many times at a significant low in price, but they marry the pattern.



The opposite is referred to as an inverted head and shoulders pattern. This is a false pattern, a false bottom pattern we are going to be teaching in here. We are not really teaching these classical patterns - they can be found on the internet. What I am actually going to tell you is how you can capitalize on these patterns when they appear in charts and our higher time frame premise indicates the opposite direction is unfolding.

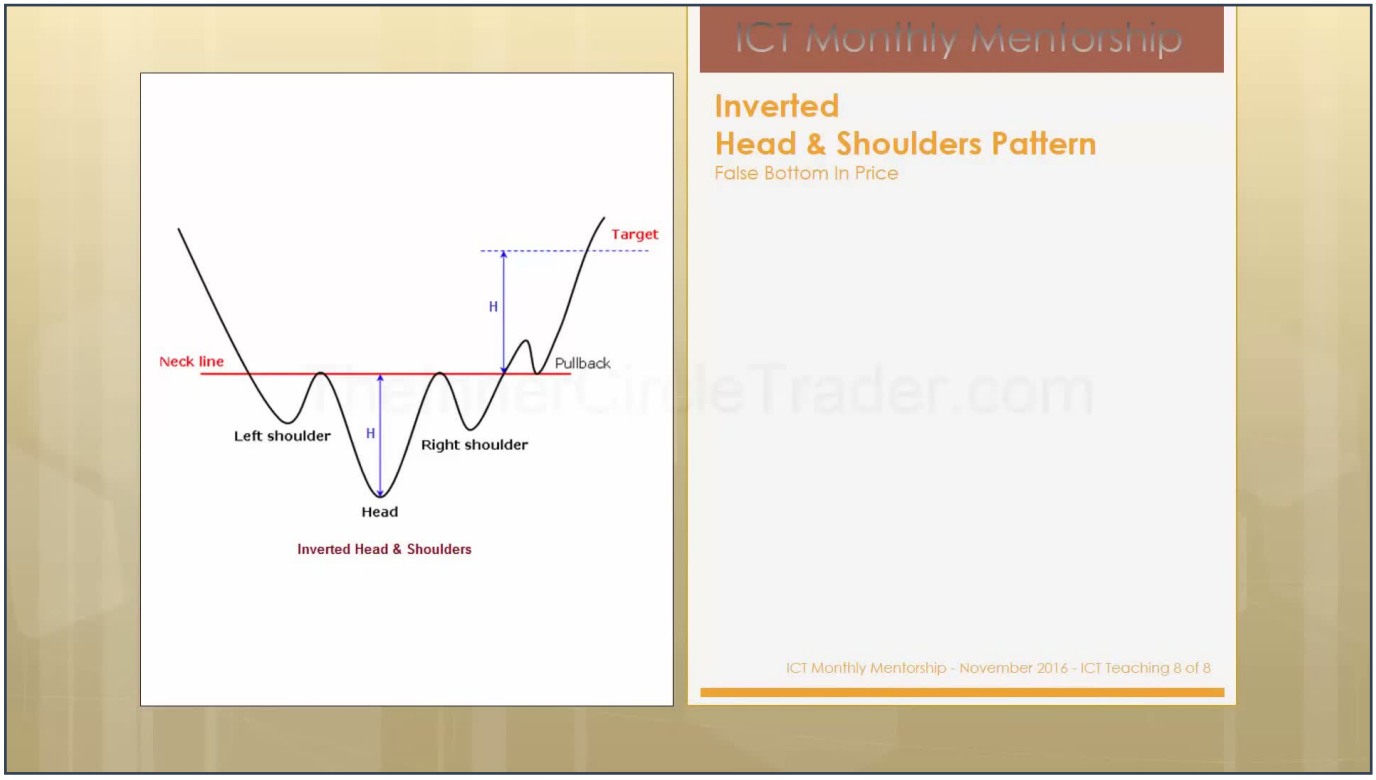
An inverted head and shoulders pattern is typically seen with:

- a short-term low

- that is met with a lower low

- then it makes a higher short-term low.

You connect the highs that form around those three successive lower lows, and we refer to that as the neckline.



Eventually, should price trade above that neckline, classically you would expect a pullback in price or retrace it back down to the neckline and then advance up to the target.

- The range from the neckline down to the lowest low of those three lows, added to the neckline once the price breaks through it, would give you a reasonable upside objective.

THE PROBLEM WITH CLASSICAL INVERTED HEAD AND SHOULDERS PATTERNS FOR RETAIL TRADERS

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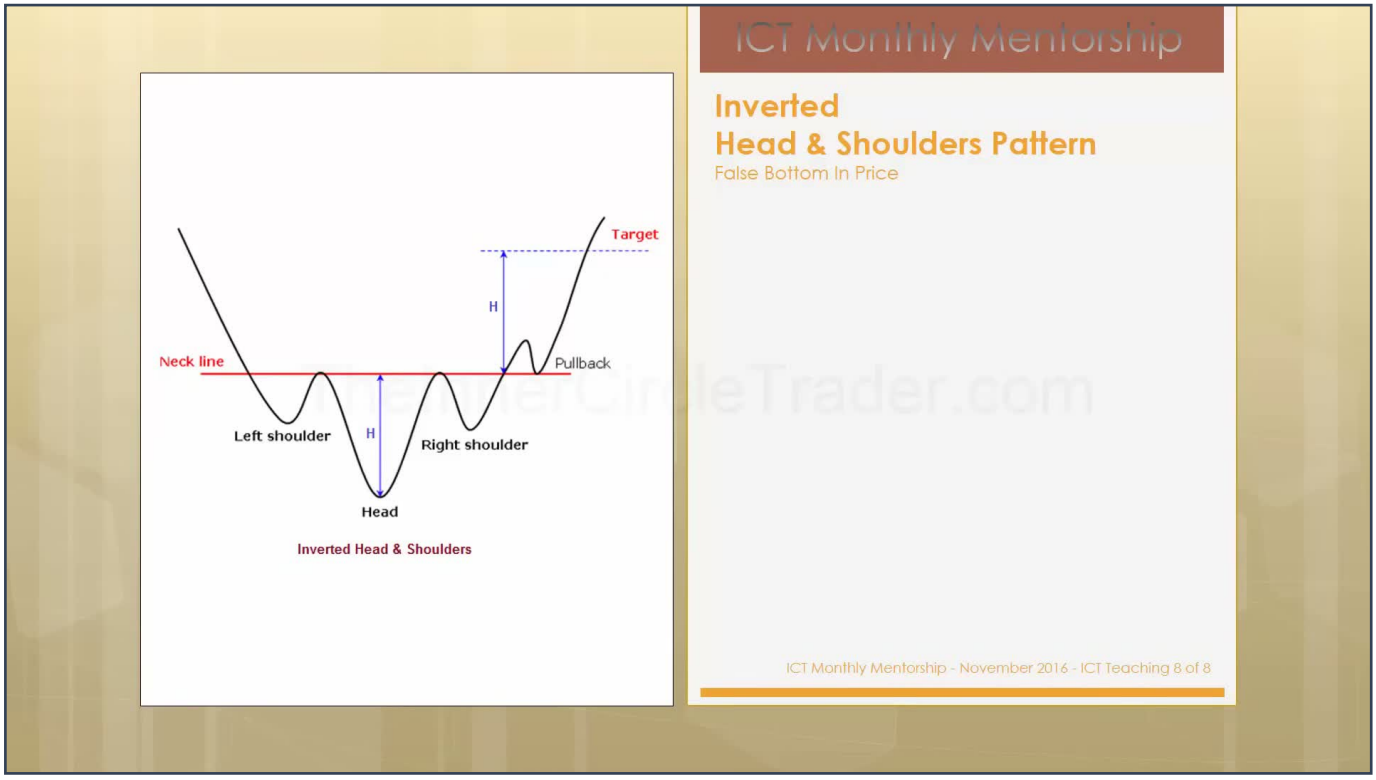
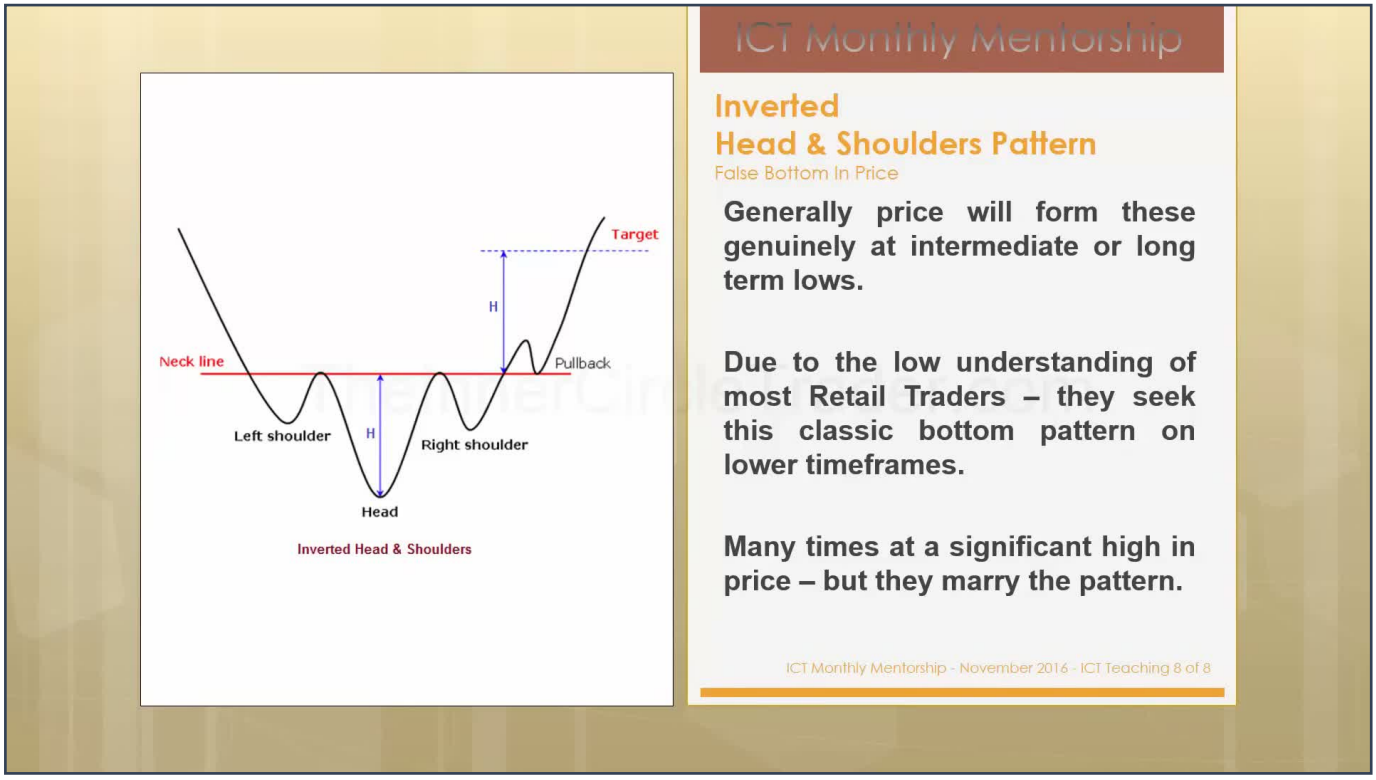


Much in the same way, generally price will form these genuinely at intermediate or long-term lows.

- And again, much like we said with the regular classical head and shoulders pattern, due to the low understanding of most retail traders, they go into the lower time frames and they start looking for this classic bottom pattern on lower time frame charts, and many times at a significant high in price.

- Retail traders often force the understanding of what they learned out of books into the charts, thinking 'there must be a head and shoulders pattern right now, so let's go in there and trade it'.

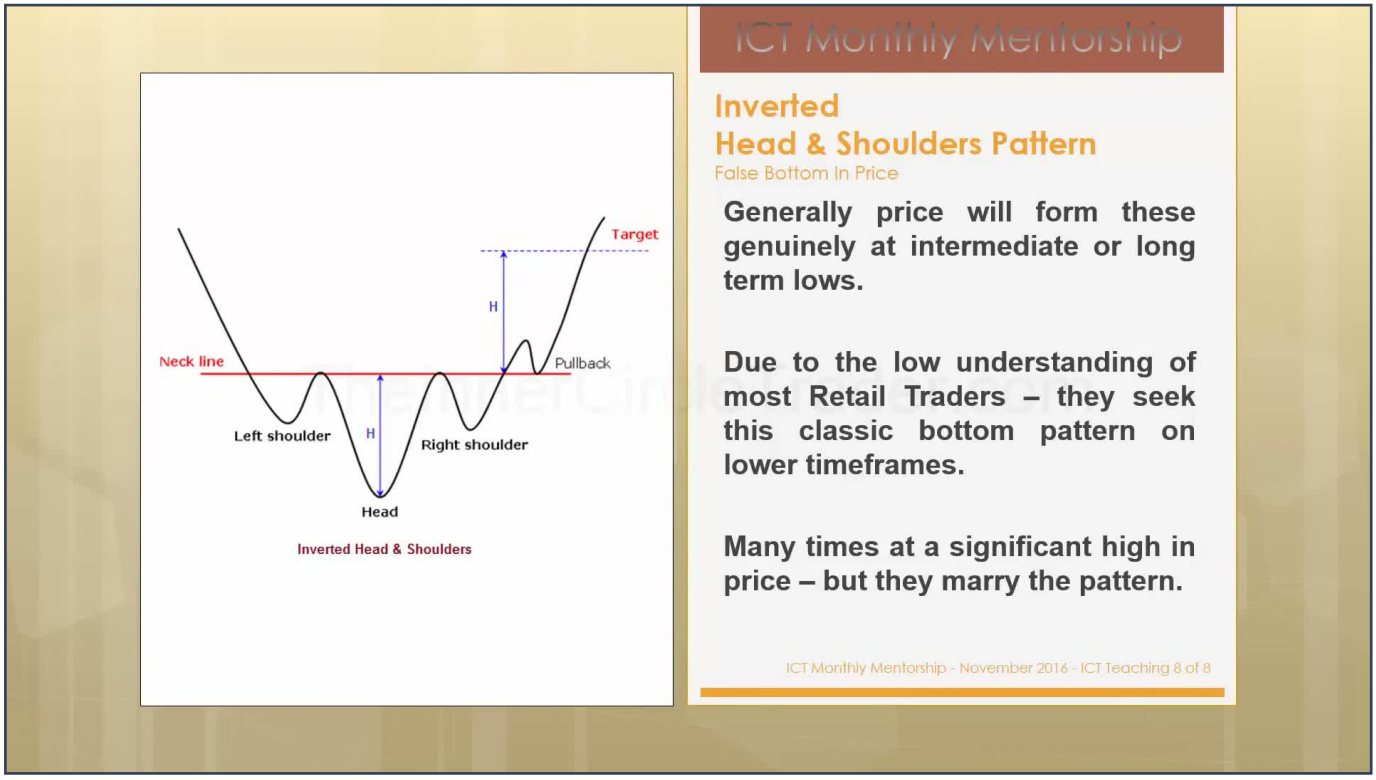


Unfortunately, it does not always equate to profitability. When I first started as a futures trader, this was one of the patterns that were really promoted hard because it is the idea that you want to catch a high and you want to catch a bottom.

- Picking tops and bottoms is one of the worst games to play, especially for the new trader.

- Even seasoned pros do not do that. We do not pick tops and bottoms.

- We can trade with impressive accuracy in catching significant intermediate term lows and short-term lows and highs, but as it relates to long-term tops and bottoms, I try to avoid that and I actually promote the idea of doing the same thing in your own trading.



One of the coolest things I have learned by going through institutional order flow studies and watching how interbank pricing is delivered, it allows me to go in and actually see these patterns when they form in price charts.

- If I have an indication that the price is actually going to go higher and I see a head and shoulders pattern (which would be a false top in my opinion, but in the charts retail will see that as a top forming), I will use it as a counter-retail opportunity.

- Conversely, looking at an inverted head and shoulders pattern (which would be classically viewed as a bullish pattern in price), if I see that happening when the market is actually bearish, I would be looking to go short.

HEAD AND SHOULDERS AS A RETAIL TRAP: BULLISH SCENARIO

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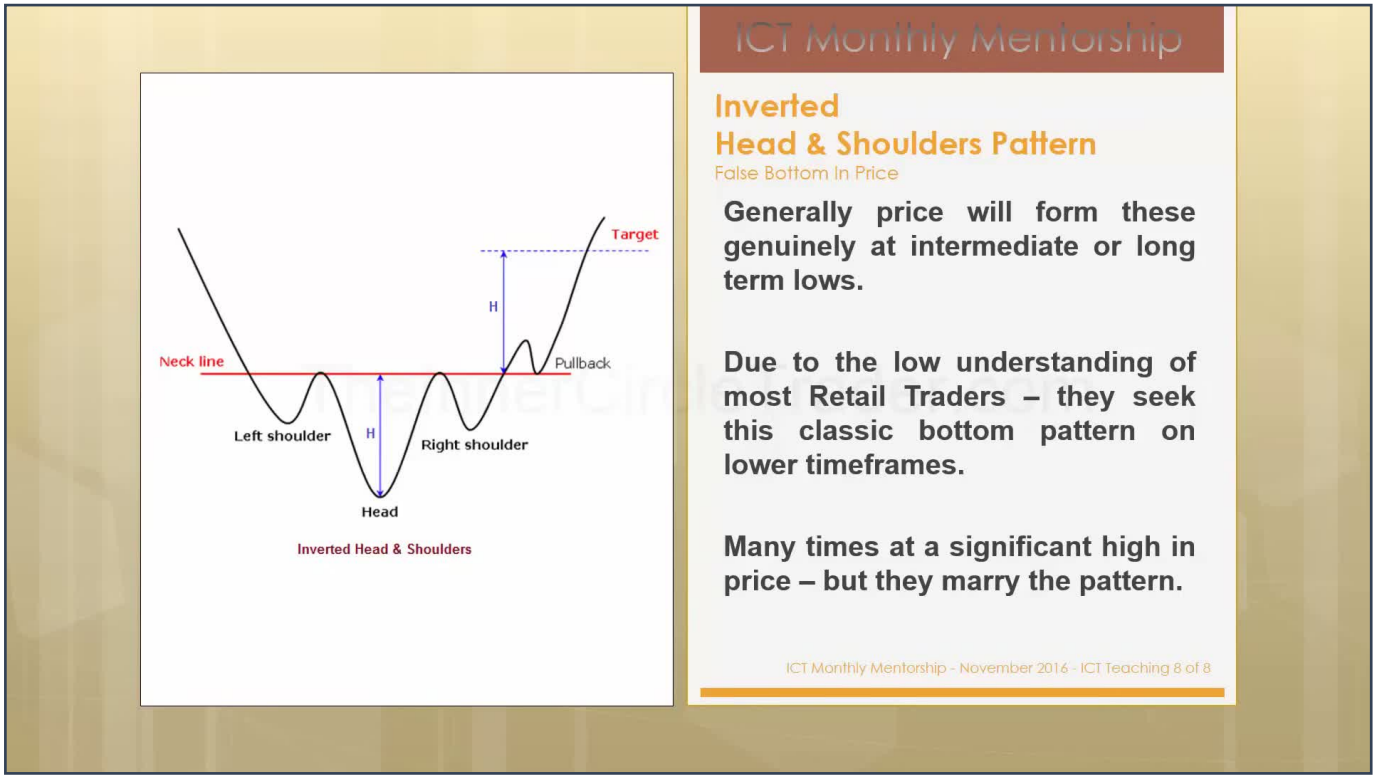
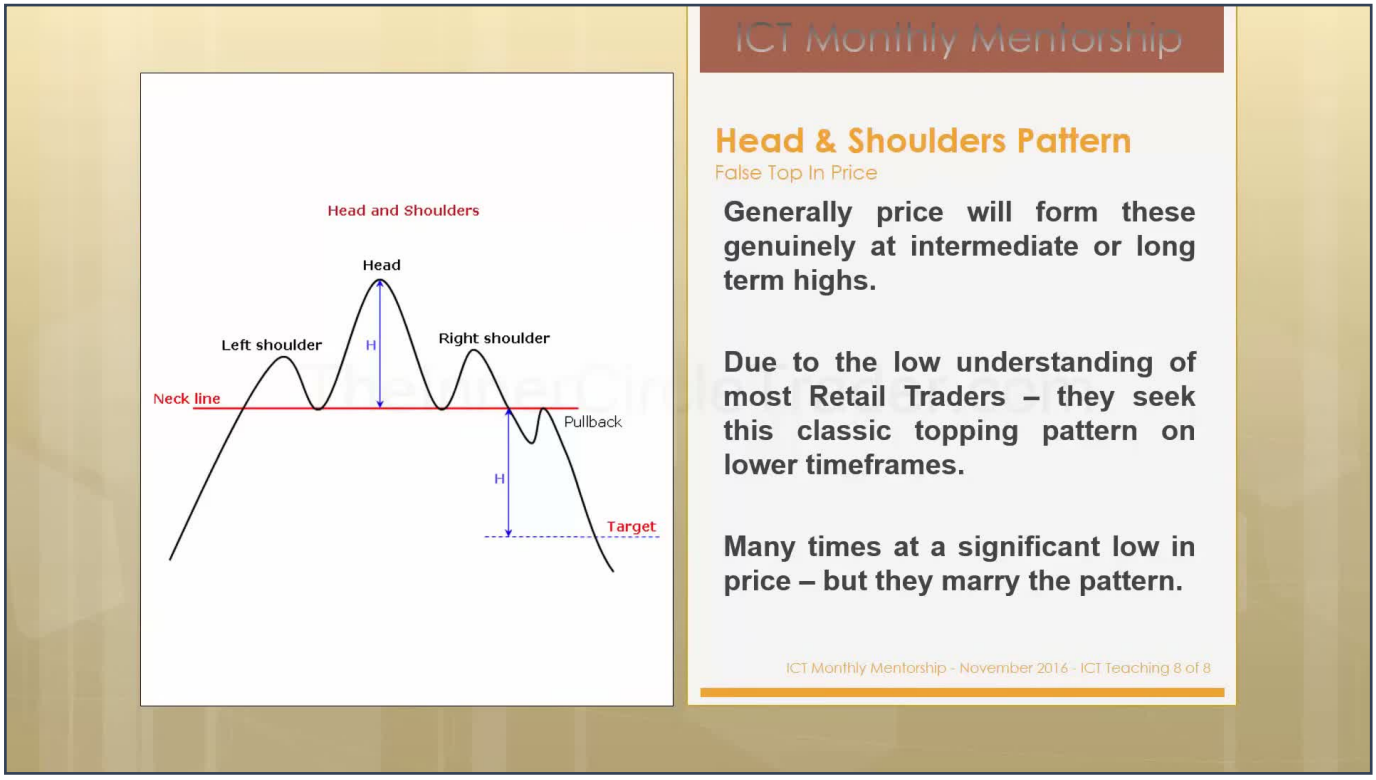


Let's go back to the standard head and shoulders pattern. When you look at the neckline, what I see there is an opportunity to be long once the neckline is broken on the downside.

- Especially if we are in an institutionally trained bullish environment. This means if we are in a long term or immediate term low and it forms successive three peaks in price moving higher, which would be classically viewed as a head and shoulders pattern.

- Pure chartists would see that as a bearish indication, especially newbie traders or less informed traders.

- I like seeing when price does that because to me, it is a retail trap.



Market makers are designing classical chart patterns in price where you can get tripped up thinking just because you saw a head and shoulders formation and the neckline is broken.

- When that neckline is broken, I do not see that pullback as a resuming lower or a new selling scenario.

- I see that as a turtle soup long that took out two previous lows where the clean lows were there.

- I look at that as a buying opportunity. So I will buy the sell stops below those equal lows or where the neckline is.

- Then I will look for the head or the highest peak to be violated, and I will try to pair up my long exits with the buy stops above the highest high in this pattern. That would be my first objective.

INVERTED HEAD AND SHOULDERS AS A RETAIL TRAP: BEARISH SCENARIO

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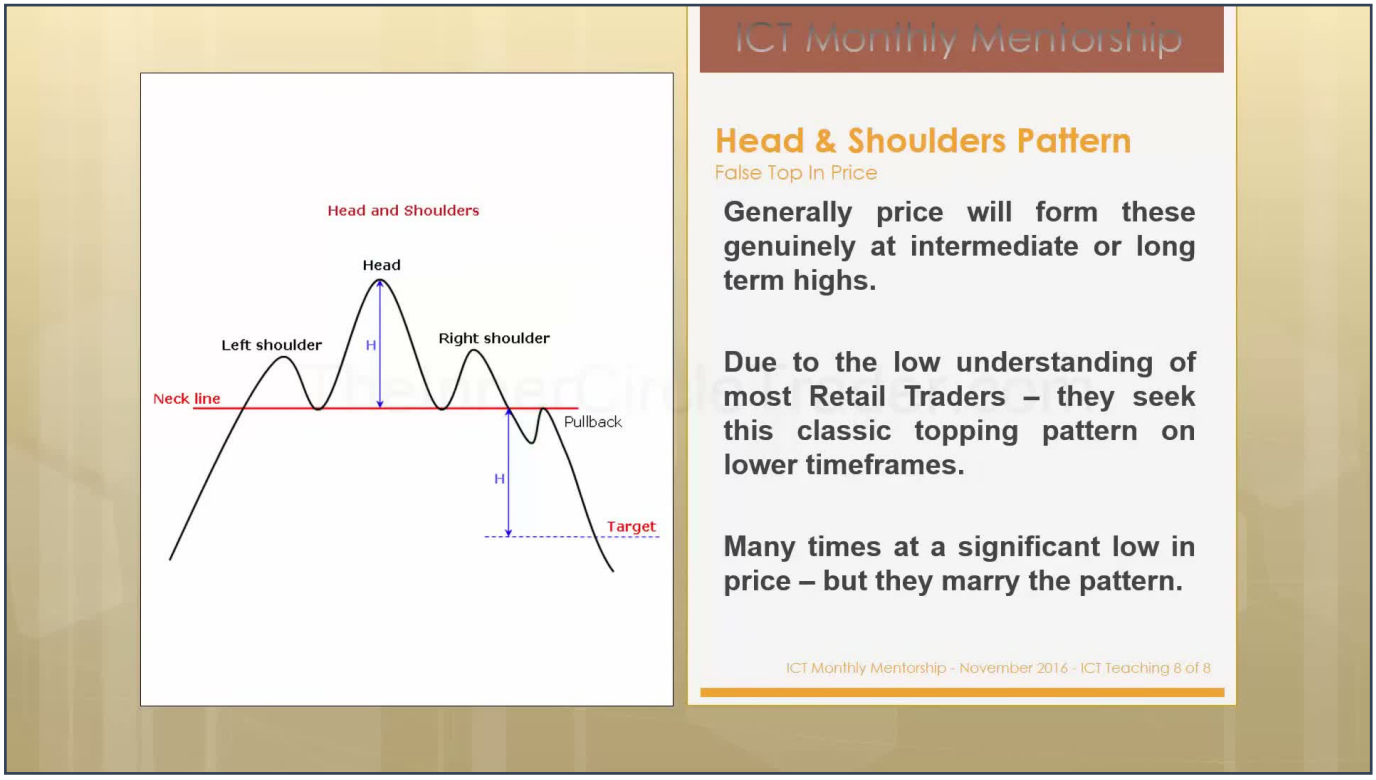

For the inverted head and shoulders, I would do the opposite.

- If I am looking for price action to be bearish, as a higher time frame would indicate, and I see a low with a lower low and a higher low (which would be deemed as an inverted head and shoulders), I do not see that as a bullish breakout above the neckline.

- I am actually looking at that as a run on buy stops, and I am going to look to go short there.

- I do not expect to see price go higher but in fact, blow out those equal highs and then make a run for the sell stops below what would be deemed as the head on this pattern, or what would be the lowest low and most recent price action.

- You can actually take your first profit at the right shoulder on both these patterns respectively.

CHART EXAMPLE 1: BULLISH ORDER BLOCK ON DAILY CHART (CABLE)

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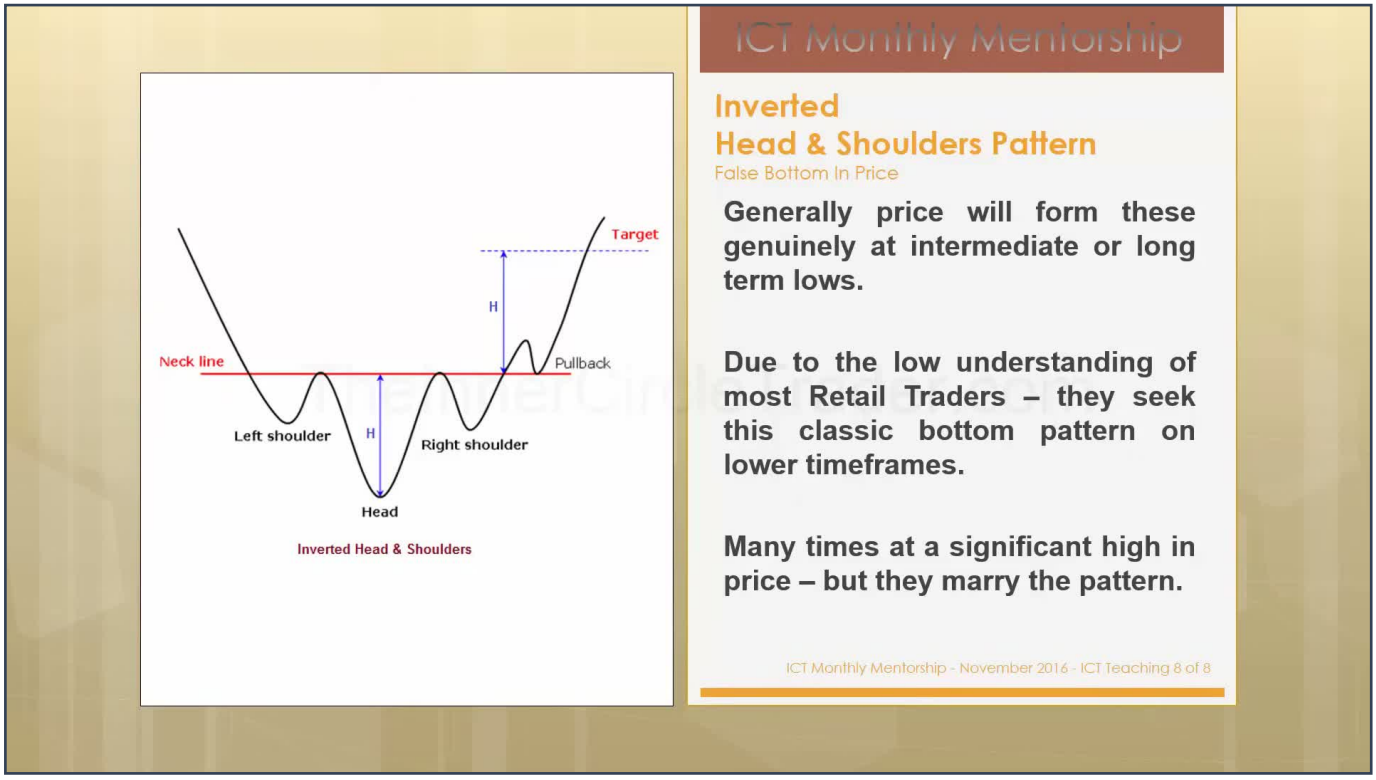

Let's take a look at a couple chart examples. We are looking at a daily chart of British Pound USD (Cable).

- Observe the down candle right before the up move. Price consolidated, came down, and hit that same order block.

- It closed in the fair value gap between the high to the midway point of the candle.

- Price came down and respected that range.

- On August 10th, we traded through the down candle, making this a bullish order block.

- From this candle's high down to its opening, it becomes sensitive to be a buyer.

- On August 12th, 2015, price traded down into the body of that down candle, which is a bullish order block. This is bullish on a daily.

CHART EXAMPLE 1: HEAD AND SHOULDERS RETAIL TRAP ON HOURLY CHART

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Let's take a look at an hourly chart at that same time on August 12th.

- Here we have the market making a high, a higher high, and a lower high. We have two equal lows in here.

- This forms a head and shoulders pattern.

- Retail traders are going to see that as a selling scenario. They are going to look for a break of this neckline.

- They will take the range from the high down to that neckline and subtract that, which will give them their objective for going short.

- Retail expects a breakdown to lead them down to 1.55 or thereabouts, specifically to a low of 1.5495.

CHART EXAMPLE 1: ICT'S COUNTER-RETAIL STRATEGY (LONG)

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We do not expect that because on the daily chart, we are expecting the bullish order block to send prices higher.

- While we see a regular head and shoulders pattern, which would be classical bearishness, as it relates to institutional order flow, we are looking at the run below these lows in here as a run on sell stops.

- We are looking for the market to go below here to pair up orders to go long.

- For individuals that have a sell stop down here, if they are already long, their trailing stop loss is going to be in the form of a sell stop because the market's most recent move has been higher.

- We see this move below these equal lows as an opportunity to buy those willing sell stops or flood the market when the market trades below here.

- Now we have a lot of liquidity. We see liquidity here in the form of going long.

- We are going to be looking for an objective up here to take profits.

- We could be a buyer at 1.5550 and look for 1.5620, a move above this high, as our objective, or 70 pips.

- The market runs multiple times below that low, gathering up the sell stops, and then expands, which pairs up the buy stops above 1.5620.

CHART EXAMPLE 1: DAILY CHART CONFIRMATION OF EXPANSION

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That is an objective of using the head and shoulders pattern against what retail would expect, and using higher time frame institutional order flow on the daily chart, reading it as the banks would.

- Let us go back out to that daily chart. You can see what it did as a result, and there is that expansion.

CHART EXAMPLE 2: BEARISH BREAKER ON DAILY CHART (CABLE)

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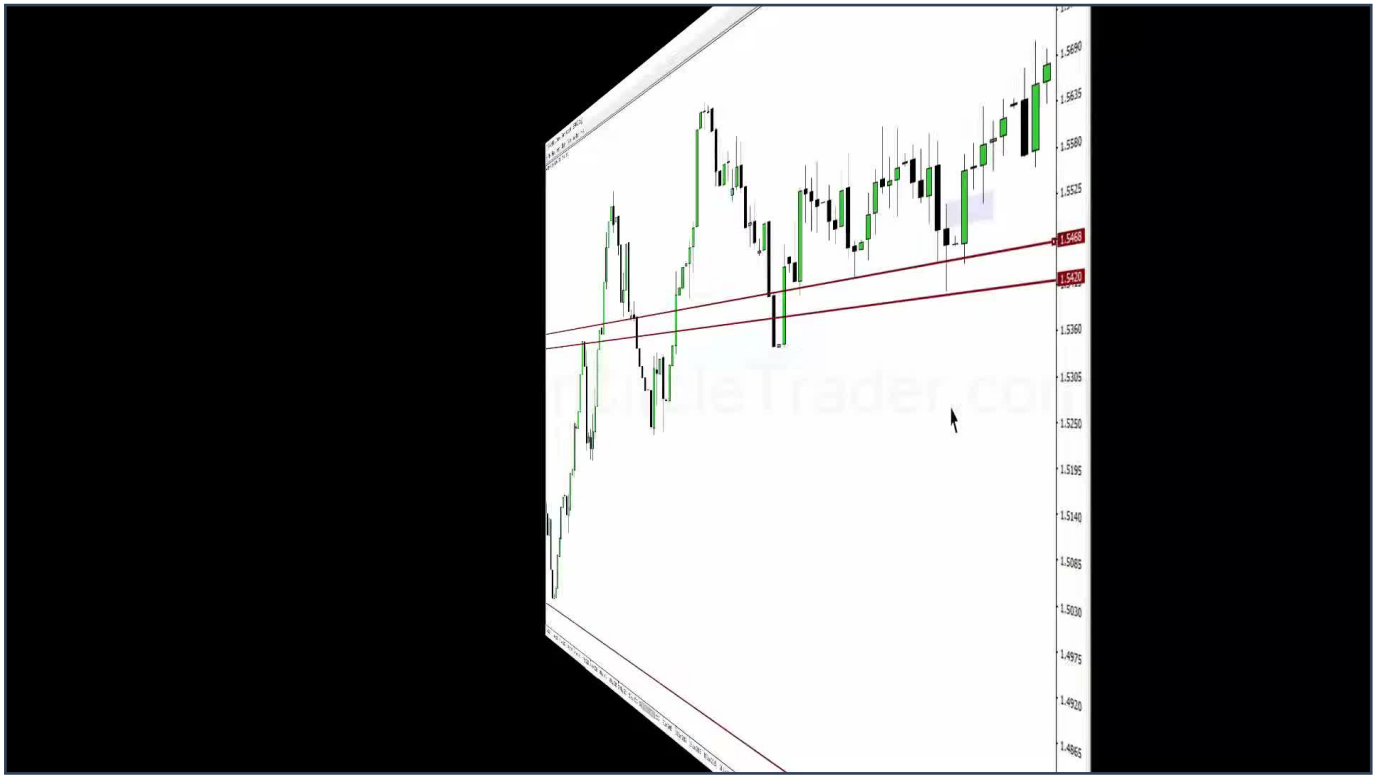

We have another example here. This is the daily of the British Pound USD.

- Consider the down candle right before this big move up. There were equal highs here, meaning there would have been buy stops above these highs.

- This rally up takes out those buy stops and it comes all the way up and closes in its range. This liquidity void is closed in.

- These stops were targeted with this down candle. This means that this down candle was a bullish order block which is used to break the buy stops that were in the marketplace here.

- So when price trades below it here, when price comes back up to it here, we are inside of a breaker. That is a bearish environment.

- In the 1.5345 to 1.5350 area, we are looking for a reason to expect some kind of bearishness.

CHART EXAMPLE 2: INVERTED HEAD AND SHOULDERS RETAIL TRAP ON HOURLY CHART

On a lower time frame, retail will see patterns like this: We have a low, a lower low, and a higher low. This is an inverted head and shoulders pattern.

- You draw your neckline on the chart, connecting these two levels. The difference would be from the low up to this neckline.

- Once price trades above it, the neckline is broken. The stops below here would be targeted.

- Selling up here on a break above the neckline, not looking at that as bullishness and return for higher prices, but looking for it to sell off.

- We would look for that run to sell into the buy stops above this high here and above this high here. That is why I would expect to see some bearishness here.

- Then we would wait for a run below these lows here. It does give a lot more than that here, but nonetheless it is not a bad little trade – 10, 20, 30, 40, 50, 60, 70, 80 pips or more running below here.

CHART EXAMPLE 3: BEARISH ORDER BLOCK/BREAKER ON DAILY CHART (CABLE)

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Let us go back out to the daily. We are going to look up at this high here.

- Price trades up into it here. We are going to use the low of the last up candle and the body of the candle. You can see that it trades up into that as well.

- We are going to look at October 18th.

CHART EXAMPLE 3: INVERTED HEAD AND SHOULDERS RETAIL TRAP ON HOURLY CHART

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Here is the 15th, creating an inverted head and shoulders, so that would be viewed as bullishness by retail.

- So if we get above that high, we can be a seller because we would expect those buy stops to be viewed as breakout artists on an inverted head and shoulders. They are going to see that as a bullish pattern.

- We are going to look at it as a bearish pattern; we are going to be completely opposite of that.

- You can use this here or you can use the bodies of the candles where the most volume is. So this is the highest body of the candle, so 1.5502 would be a sell if we get above it.

- Price trades to it here, so you can be a seller above 1.5502.

- 1.5502 is your area for being bearish. We do not look at that as a breakout and then wait for a pullback for new higher prices. We are looking to see it sell off.

- There is your entry on the buy stops at 1.5502.

- Your objective would be to cover below that low right here, which happens.

- And then again all through here gives you another opportunity to cover, and ultimately runs one more time above that 1.5502 level for buy stops, and then again below what would be the head. Plenty of opportunity to get handsome profits.

CONCLUSION: FADING RETAIL PATTERNS WITH INSTITUTIONAL ORDER FLOW

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Again, you look for the pattern because retail will look for the pattern, but you are going to fade that pattern based on what you see on the higher time frames.

- We look for institutional order flow to justify why this should be bearish up in here; we should be looking for reasons to be selling, not buying.

- If we see inverted head and shoulders patterns on the lower time frames, retail is going to be all over that looking for bullish upside moves, and that is not what you see here at all.

- Hopefully, you found this one insightful. We are going to be attacking a lot of the retail-minded classical chart patterns throughout this ICT mentorship. This is just the beginning of two that will fall victim to institutional order flow. Until next time, I wish you good luck and good trading.